# 3.5.1 Cash flow and profit

Unit 3.5 Financial management · 6 key points

- **Cash flow:** money coming into and going out of the business over time
- **Profit:** revenue minus costs over a period
- **Why they differ:** credit sales, credit from suppliers, buying stock and assets, loans and new shares
- **A profitable business can run out of cash:** e.g. customers pay late or stock builds up
- **A loss-making business can have cash:** e.g. after borrowing or selling assets
- **Trap:** borrowing increases cash but not profit